In 1783, the East India Company's board of directors had set up what later became the Indian Foreign Department, the forerunner to today's Ministry of External Affairs. In 1843 four key departments were set up at the federal level: foreign, home, finance and military. After 1858, when the British government took over running India's affairs directly, the Indian Civil Service (ICS) was created, initially with the nomenclature of Imperial Civil Service and as the British Indian Civil Service after 1886. The civil service was broken into separate tracks dealing with diplomatic affairs, home affairs, Indian affairs and colonial affairs, each with its own designated officers. Candidates for all four services were recruited through a combined entrance examination and underwent a one-year training programme at a university in England. The civil services were exclusive to British men until the early twentieth century when Indians were allowed to enter. The training period for Indian civil servants was two years.

India was the engine that sustained the British Raj and a huge bureaucratic establishment was set up to serve the Raj. Schools were set up to train civil and military officials to maintain the empire's interests, locally as well as internationally. Under the East India Company, its military officers and civilian administrators were company employees and their roles were interchangeable. The company used the same personnel for domestic, diplomatic and military work and British policies in relation to India were framed on the basis of reports of these employees. Even after the Crown took over from the company, the foreign and political department's function was not purely restricted to the foreign affairs of British India but also included internal and imperial matters.

The Department of External Affairs based in Delhi framed policy for Persia, Afghanistan, Tibet, Burma, Ceylon and Malaya in addition to selecting personnel for implementation of these policies. The frontier areas of the British Raj were also under the jurisdiction of this department. An Act of the British parliament in 1937 ended this dual responsibility, creating